

EU Semiconductors

ASML Holding NV

Rating

Outperform

Price Target

ASML.NA	2,500.00 EUR
ASML	2,859.00 USD



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ASML: Best Idea 3Q26 – WFE upcycle, rising litho intensity, and pricing upside

ASML is our Bernstein Best Idea for the third quarter of 2026. We rate ASML Outperform with a target price of €2,500.

ASML provides the best growth visibility with rising litho intensity. With [huge WFE spending to support AI growth](#), ASML benefits by providing the essential EUV/DUV tools that are gaining share. Litho intensity is rising steadily from 20% to close to 30% as DRAM migrates to more EUV layers, and stays elevated above 30% for advanced logic. We also expect HNA EUV to be adopted gradually virtually all leading edge players in DRAM and logic by 2030.

Price hike and margin expansion is underestimated. ASML's price hike comprises 1. EUV prices going up 20% in 2 years with the migration from 3800E to F, and 2. Potential like-for-like price hikes to realize its value in the supply chain. We find #1 often ignored and #2 completely missing from expectations. We believe EUV margin can expand to mid 60s % with #1 alone, and potentially higher with #2. [Japanese equipment makers have started confirming the price hikes](#), suggesting it's likely for ASML to do so too.

DUV is structurally growing and China concern is overdone. For DRAM, the EUV:DUV attach ratio is 1:1, so when DRAM capex grows a lot, the DUV portion also grows proportionally. China demand is also sustainably higher; while China is reportedly making its own DUV (ArFi) machine, we believe the tool won't be competitive against ASML's anytime soon, and ASML's China revenue contribution already dropped to 16% in H1 (20% full year), the lowest among WFE peers.

Compelling risk/reward with downside protection. After the correction, our PT of €2500 represents ~80% upside. On the other hand, current share price is only 20x our 2028 EPS; such low multiple almost never happened in history, and our EPS still doesn't capture any additional price hikes. The risk/reward is very attractive with downside protection.

Investment Implications

We rate ASML Outperform and top pick of EU Semi, PT = €2,500.

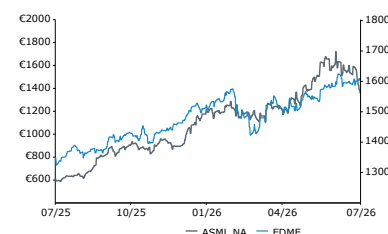
Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
ASML.NA (EUR)	24.72	38.91	53.56	Revenues (M)	32,667	43,973	55,915	30.8%	Reported P/E (x)	55.1	35.0	25.4
ASML (USD)	27.95	44.01	60.58	EBIT (M)	11,302	17,737	24,280	46.6%				

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	29 Jul 2026
ASML.NA Close Price (EUR)	1,362.20
Price Target (EUR)	2,500.00
Upside/(Downside)	84%
52-Week Range	1,741.00/587.80
EDME	1,601.43
FYE	Dec
Div Yield	0.6%
Market Cap (EUR) (M)	547,055
EV (EUR) (M)	541,458
Performance	YTD 1M 6M 12M
Absolute (%)	53.0 (18.1) 15.9 124.6
EDME (%)	8.9 0.3 5.7 17.6
Relative (%)	44.1 (18.4) 10.3 107.0

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

RELATED RESEARCH:

20 Jul 2026 - [Global Semiconductor Capital Equipment: How much WFE do we need to reach AI nirvana?](#)

16 Jul 2026 - [ASML Q2 2026: Triple happiness; Lifting PT to €2500](#)

13 Jul 2026 - [Global Semis — Can semi cap work if memory doesn't?](#)

6 Jul 2026 - [ASML: High-NA EUV cost deep dive - lifting PT to €2300 on rising litho intensity](#)

15 Jun 2026 - [JP/EU Semi Equipment: Early signs of price hikes emerging](#)

21 May 2026 - [Global Semiconductor Equipment: \\$200bn WFE in sight](#)

23 Apr 2026 - [Quick Take: ASML - High-NA EUV adoption postponed?](#)

26 Mar 2026 - [ASML and Japan SPE: DRAM shortage fuels capacity rush](#)

25 Feb 2026 - [ASML: LNA EUV ASP seeing 60% upside? Outperform](#)

21 Jan 2026 - [ASML: Don't forget DUV. Outperform](#)

ASML, EUV and DUV models can be downloaded here ([ASML.NA / ASML Holding NV](#); [EUV Model](#); [DUV Model](#)).

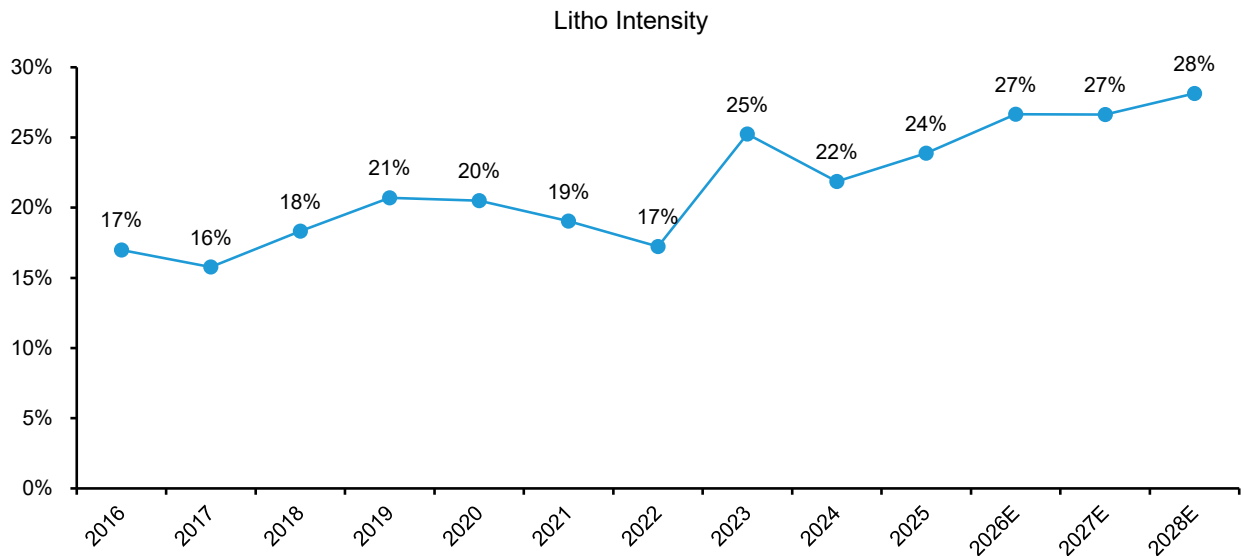
ASML REMAINS OUR TOP PICK IN THE SECTOR

LITHO INTENSITY CONTINUES TO INCREASE, DEFYING INVESTOR CONCERNS

We forecast litho intensity to continue its upward trend, increasing from 24% to 28% by 2028, driven by the faster growth of DRAM and advanced logic relative to the overall semiconductor market. Both segments have considerably higher litho intensity than mature logic and NAND, supporting a structurally higher blended litho intensity over time.

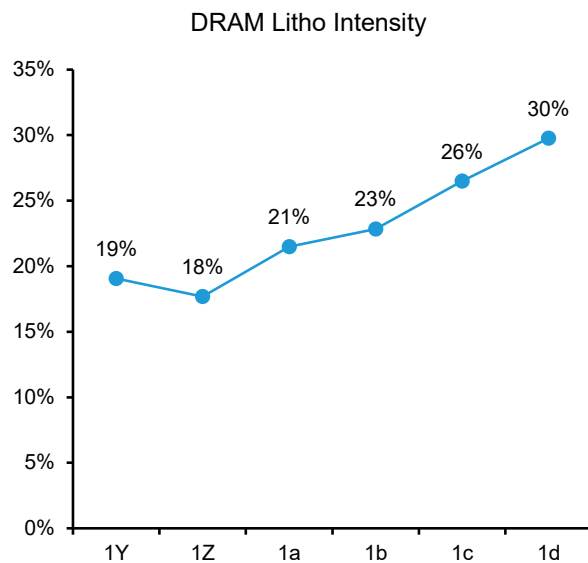
- **In DRAM**, we estimate litho intensity increased from slightly below 20% at the 1Y and 1Z nodes to 26% at 1c. This significant increase was driven by the rising number of EUV exposures, starting with 3–4 exposures at 1a, increasing to 4–6 at 1b, and then to 6–7 at 1c. With 1c penetration expected to increase substantially over the next few years, we expect overall DRAM litho intensity to rise considerably. In addition, with the introduction of double-patterning EUV or HNA at the 1d node, we expect litho intensity to increase further to around 30%.
- Similarly, **logic** litho intensity increased significantly from around 20% at 10nm, driven by a sharp rise in EUV exposures, peaking at 5nm and 3nm at above 35% intensity. While logic litho intensity declined from 3nm to 2nm due to the adoption of GAA, which requires more non-litho process steps, it remains elevated at around 32%. We expect litho intensity to remain at similar levels, or potentially increase, with HNA at 1.4nm, and to rise further at the 1nm node.

EXHIBIT 1: We expect litho intensity to continue its upward trend, driven by the increasing penetration of 1c and 1d nodes in DRAM, which command higher litho intensity, as well as advanced logic, which has considerably higher litho intensity compared to mature logic



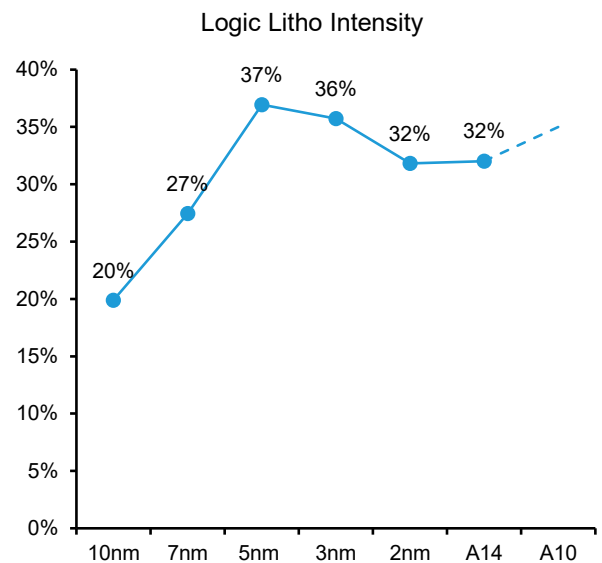
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 2: We anticipate an increase in lithography intensity in DRAM. The introduction of double-patterning EUV (or HNA) at the 1d node is expected to drive lithography intensity up to ~30%



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 3: Logic litho intensity declined from 3nm to 2nm but remains elevated at ~32%. We expect it to stay at similar levels or increase further with HNA at 1.4nm, and likely rise again at the 1nm node.



Source: Company reports, Bernstein analysis and estimates

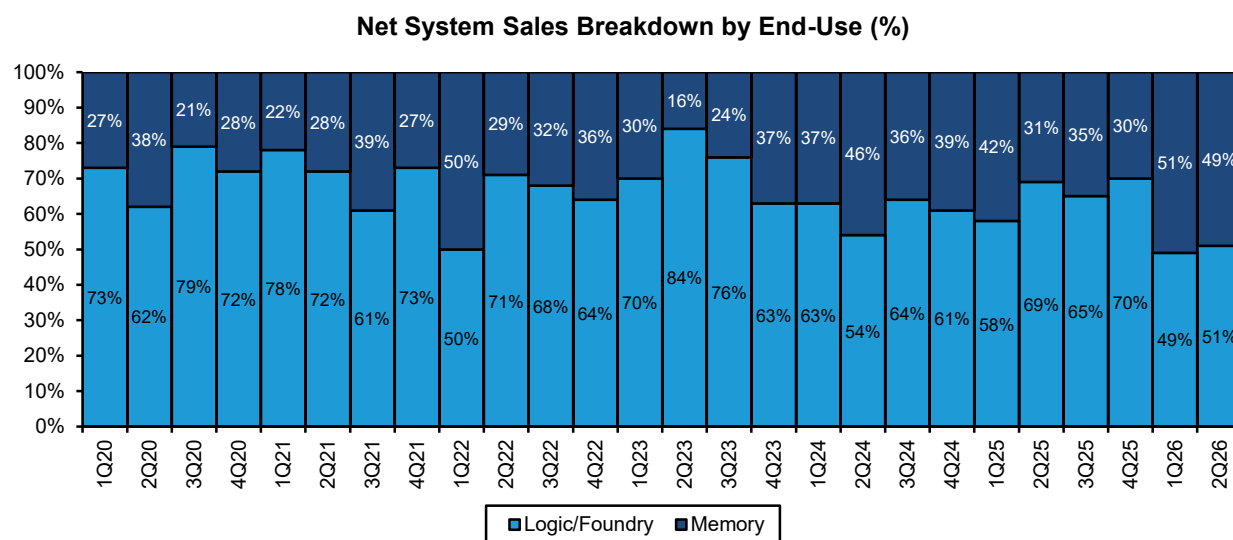
DRAM GROWS FASTER THAN LOGIC TO BECOME THE BIGGER GROWTH DRIVER OF ASML

DRAM has now overtaken logic as the most important driver of ASML's litho demand. ASML guided 2026 memory system sales growing more than 75% YoY, compared with only 25% growth for advanced logic/foundry. This has already become visible in ASML's order mix, with memory's share of system sales increasing from roughly 30% historically to

~50% in recent quarters ([Exhibit 4](#)).

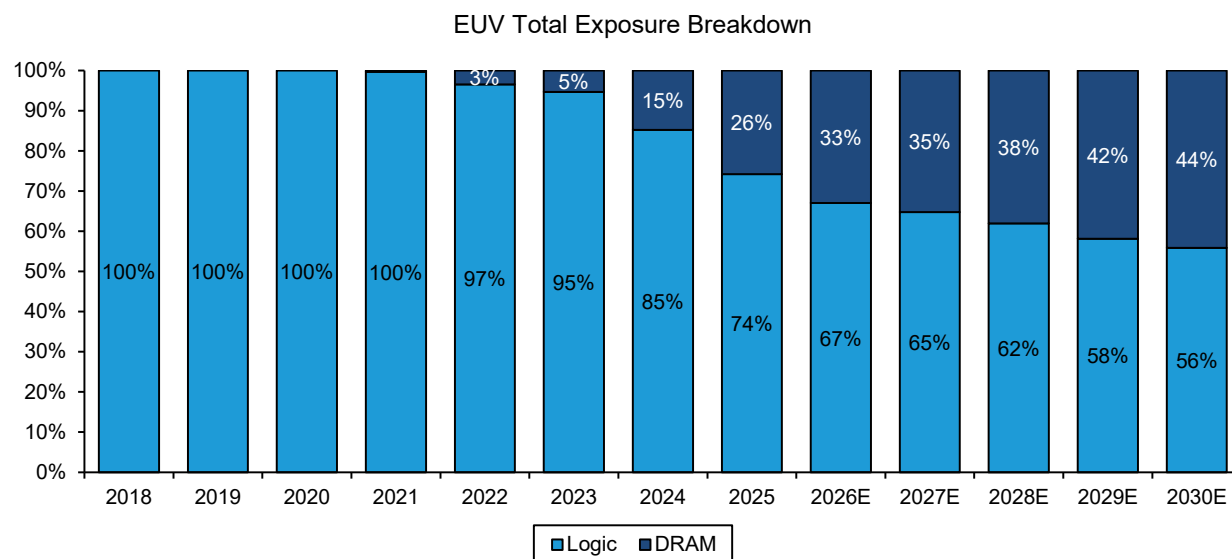
- The main reason is that, as we mentioned, **DRAM litho intensity is rising faster than in logic**. As DRAM manufacturers migrate to increasingly advanced nodes such as 1c and then 1d, the number of critical litho layers continues to increase. In particular, DRAM is seeing a rapid increase in both EUV and immersion layer counts, with EUV increasingly replacing multi-patterning flows that previously used multiple DUV exposures. Every time a customer replaces multi-patterning with single-exposure EUV, a larger share of process spending shifts toward lithography. ASML specifically highlighted that both EUV and immersion demand are rising in DRAM because of this node migration trend.
- At the same time, **DRAM capacity expansion is accelerating faster than logic**. Tight supply conditions and elevated pricing in both DDR and HBM have triggered significant investment in new fabs and megafabs. ASML noted that customers are adding meaningful capacity today while also planning multiple future fab expansions. The HBM buildout adds a volume component on top of the technology migration, creating what management described as a "perfect storm" for DRAM litho demand.
- This is reflected in our EUV exposure growth forecasts with total DRAM EUV exposures will increase 4.5x over the next 5 years, rising from roughly 3.4 MWPM in 2025 to 26.3 MWPM by 2030, compared with logic EUV exposures increasing by just over 3x during the same period. While logic continues to benefit from AI-related demand at 2nm, 3nm and future 1.4nm nodes, the combination of higher litho intensity and faster capacity additions makes DRAM the more powerful growth engine for ASML over the next several years ([Exhibit 5](#)).

EXHIBIT 4: Memory system sales have increased significantly over the last two quarters, rising from ~30% to 50% of the total. ASML expects Memory to be the primary growth driver in 2026 expanding 75% YoY.



Source: Company reports, Bernstein analysis

EXHIBIT 5: We estimate DRAM total EUV exposures to increase 4.5x over the next 5 years, increasing from 26% to 44% of total exposures. While we expect logic EUV exposure to grow at a slower pace than DRAM, we still expect it to more than triple over the next 5 years



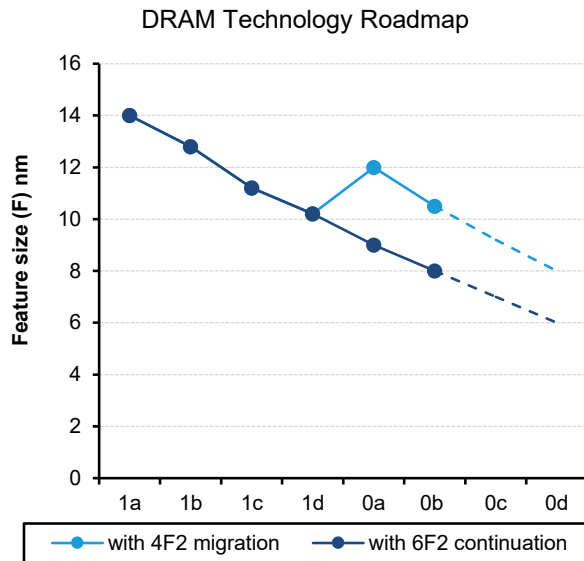
Source: Company reports, Bernstein analysis and estimates

EUV ADOPTION CONTINUES TO DRIVE LITHO SHARE GAIN, ESPECIALLY IN DRAM

DRAM scaling continues to support rising lithography intensity as memory manufacturers push to ever-smaller feature sizes. Feature dimensions are expected to shrink from approximately 14nm at 1a to around 10nm at 1d and ultimately toward sub-10nm at 1d node. While the industry may transition from a 6F² to a 4F² cell architecture starting around 0a, this should be viewed primarily as a temporary easing of scaling requirements rather than a departure from the long-term trend of shrinking feature sizes. Management believes continued node migration will still require increasing EUV adoption, with HNA eventually becoming necessary later in the decade ([Exhibit 6](#)).

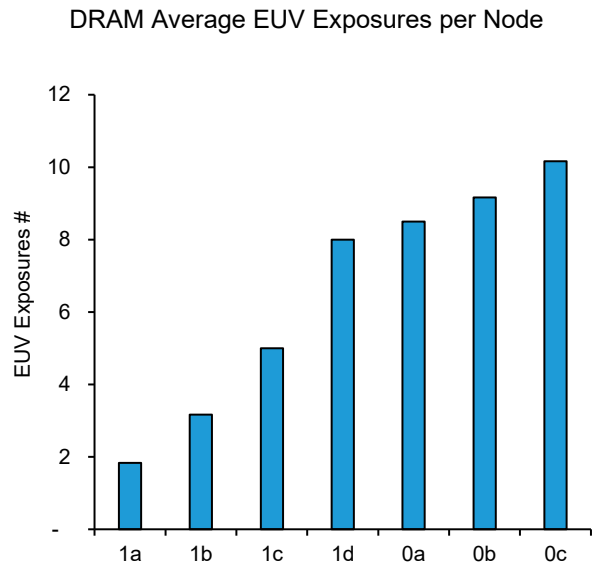
For this reason, EUV exposure counts are rising rapidly across each DRAM generation. Average EUV layers increase from roughly 2 exposures at 1a, to 3 at 1b, 5 at 1c, and 8 at 1d. EUV usage is expected to rise further at 0a/0b. Increasing EUV layer counts and the ongoing substitution of multi-patterning DUV continue to drive lithography spending growth above overall WFE growth ([Exhibit 7](#)).

EXHIBIT 6: We expect DRAM feature sizes (F) to continue shrinking over time. Although migration to a 4F² could temporarily ease feature-size scaling requirements, we believe the LT trajectory will still require higher EUV intensity and eventual HNA adoption by 2028–29.



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 7: We expect EUV layer counts to increase materially in successive DRAM generations, reaching high-single-digit exposures at the 1d and 0a nodes and ultimately expanding into the low teens at 0b and 0c.



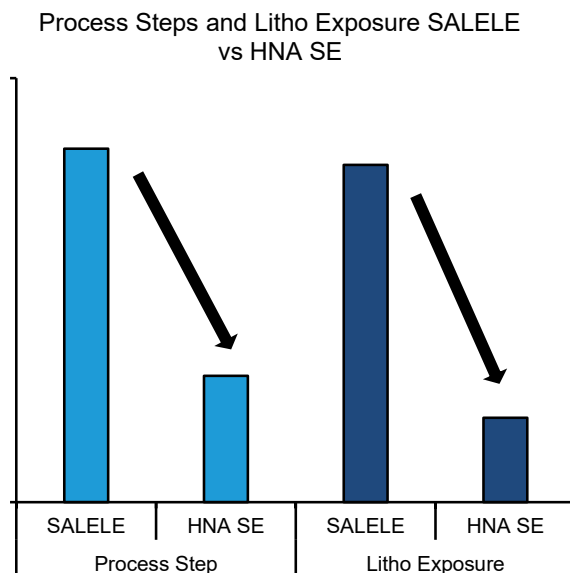
Source: Company reports, Bernstein analysis and estimates

HNA ADOPTION: HIGHER LITHO INTENSITY THROUGH PROCESS SIMPLIFICATION

HNA should drive a step-up in litho intensity, similar to the increase seen when EUV LNA replaced DUV multi-patterning. The key reason is that HNA shifts process value from non-litho steps into lithography. Just as EUV LNA increased litho intensity by replacing complex DUV multi-patterning schemes with fewer but more valuable lithography exposures, HNA can replace multiple-patterning LNA flows with single-exposure solutions on critical layers. HNA's higher resolution and contrast allow many critical layers that would otherwise require LNA multi-patterning flows, such as SALELE, to be printed in a single exposure. By eliminating multiple masks, exposures, litho-etch loops, and cut steps, HNA simplifies process flows, improves pattern fidelity and yield, and reduces overall process complexity. Although an HNA exposure is more expensive than an LNA exposure, it replaces a significant amount of non-litho processing and can reduce total process cost. As a result, a larger share of WFE spend moves into lithography, increasing litho intensity. We therefore expect a step-up in litho intensity as customers transition from LNA multi-patterning to HNA single-exposure patterning ([Exhibit 8](#), [Exhibit 9](#)).

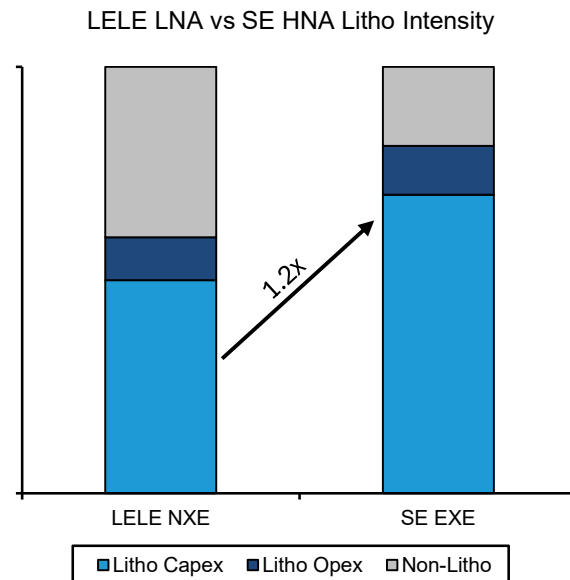
Intel's adoption of HNA in 18A this year ([Intel Foundry is using HNA on the Intel 18A](#)) confirms that the technology is ready for high-volume manufacturing and removes a key uncertainty around adoption. However, we believe the strongest economic case for HNA is in DRAM, as DRAM dies are smaller than logic dies and therefore do not require stitching. This translates into higher throughput and a lower cost per exposure, making HNA adoption easier to justify economically. SK hynix has the clearest early signal: the company announced in September 2025 that it had assembled ASML's TWINSCAN EXE:5200B, the first production-oriented HNA system, at its M16 fab for next-generation DRAM development. Samsung is also moving quickly, with [industry reports](#) indicating that it ordered two ASML EXE:5200B tools, with the first expected by late 2025 and the second in H1 2026. Samsung logic should follow shortly after, while TSMC appears likely to delay broad HNA insertion until around 10A, after prioritizing R&D first and extending LNA for earlier nodes ([Exhibit 10](#)).

EXHIBIT 8: HNA EUV reduces process complexity and lithography exposures compared to SALELE, enabling more efficient patterning, lower cost and improved throughput.



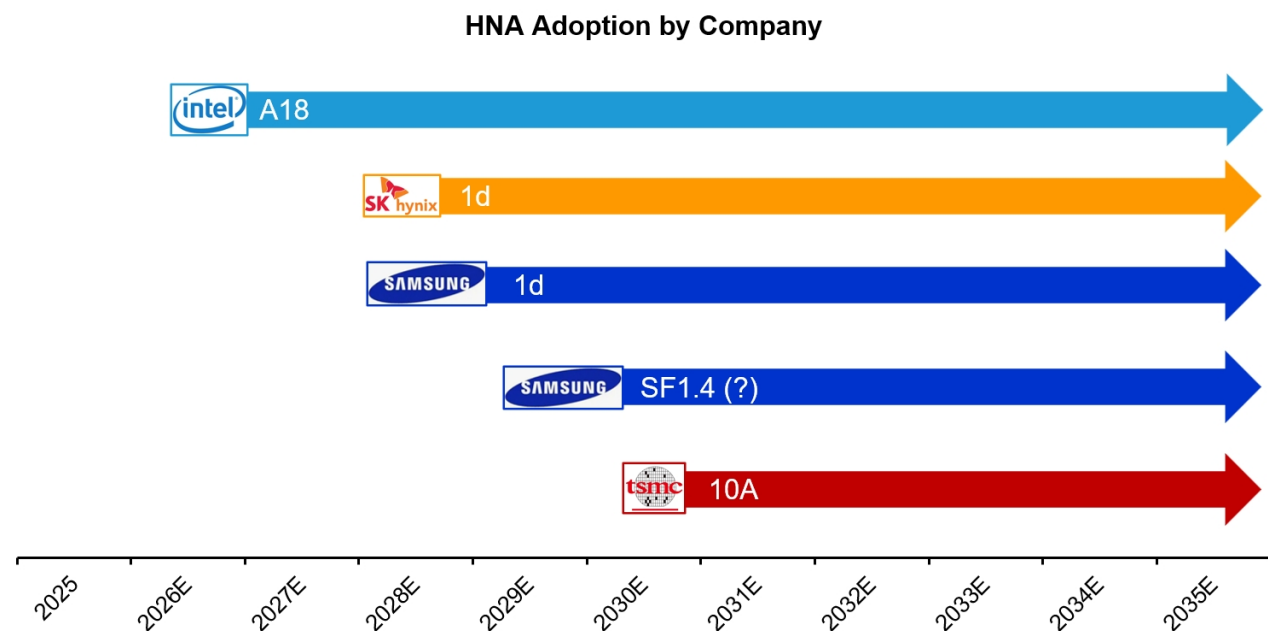
Source: IEEE VLSI Symposium 2026, Bernstein Analysis

EXHIBIT 9: ASML estimates a significant increase in litho intensity when transitioning from LELE LNA to single-exposure HNA. Litho CapEx and OpEx are expected to rise by approximately 1.2x, while non-litho costs are projected to decline.



Source: ASML, Bernstein analysis

EXHIBIT 10: Logic HNA adoption has already been validated by Intel at 18A. We expect DRAM adoption to begin with SK hynix and Samsung at 1d, while broader logic adoption is likely to occur at Intel A14 and Samsung SF1.4, with TSMC eventually introducing HNA around A10 at the end of the decade.



Source: Company reports, Bernstein analysis and estimates

DUV IS ANOTHER GROWTH DRIVER INSTEAD OF DRAG

While investor attention is understandably focused on EUV, we continue to believe the outlook for DUV remains underappreciated. As we highlighted in our ([ASML: Don't forget DUV. Outperform](#)) report, the blended DUV:EUV capex ratio remains approximately **1:1**, implying that every incremental dollar spent on EUV drives a corresponding dollar of DUV demand. In DRAM, DUV still accounts for roughly 50% of litho spend even at the 1c node, meaning the rapid expansion of EUV-intensive DRAM capacity also drives substantial DUV demand. In advanced logic, the DUV:EUV ratio is lower at roughly 1:4, but absolute DUV spending remains resilient. Although EUV has replaced some DUV multi-patterning, higher litho intensity, increasing wafer capacity, and a richer mix of ArFi tools have kept DUV capex broadly stable ([Exhibit 11](#)).

A second driver is China, where we expect WFE to grow at a CAGR of more than 15% over the next three years, reaching approximately US\$77Bn by 2028. With no access to EUV and limited domestic lithography capabilities, China remains heavily dependent on DUV, often requiring additional multi-patterning steps that further increase DUV intensity. We estimate China's advanced logic capacity will increase massively over the next few years, providing a structural tailwind for DUV demand ([Exhibit 12](#)).

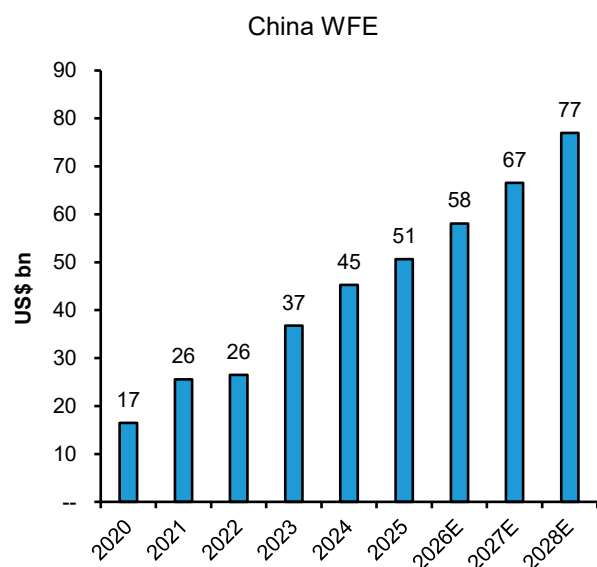
Despite consensus DUV estimates revision following ASML's Q2 results, our DUV revenue forecasts remain above street throughout the next five years ([Exhibit 13](#)).

EXHIBIT 11: We calculate that the blended DUV:EUV ratio remains approximately 1:1, meaning that for each US\$ 1Bn spent on EUV, there is a corresponding US\$ 1Bn of capex in DUV. While EUV represents the vast majority of spending in Advanced Logic, DUV remains the only lithography tool used in Mature Logic and NAND.

	WFE breakdown 2026	As % of WFE			As % of litho	
		Litho %	DUV %	EUV %	DUV	EUV
Logic	60%					
Advanced	30%	30%	6%	24%	20%	80%
Mature	30%	20%	20%	0%	100%	0%
Memory	40%					
DRAM	32%	25%	12%	13%	48%	52%
NAND	8%	10%	10%	0%	100%	0%
Blended total	100%	24%	12%	11%	52%	48%

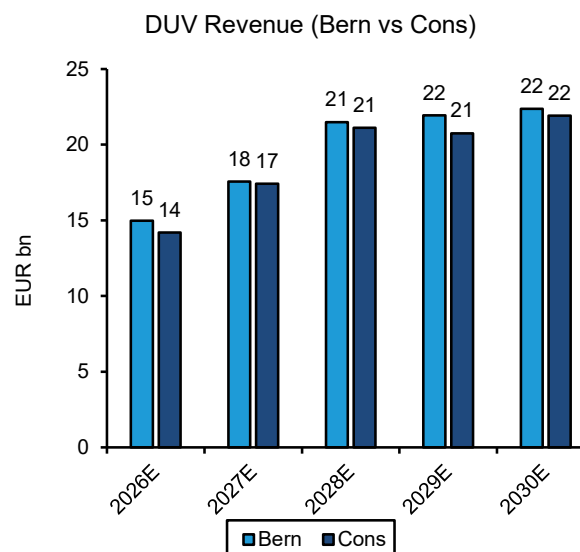
Source: Company reports, Bernstein analysis and estimates.

EXHIBIT 12: We expect China's WFE demand to remain very strong, growing at a CAGR of more than 15% over the next three years and reaching US\$77 billion by 2028.



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 13: Despite the significant increase in DUV consensus estimates following ASML's Q2 results, our DUV revenue forecasts remain above street throughout the next five years.



Source: Company reports, Bernstein analysis and estimates

CHINA COMPETITION CONCERN IS OVERDONE

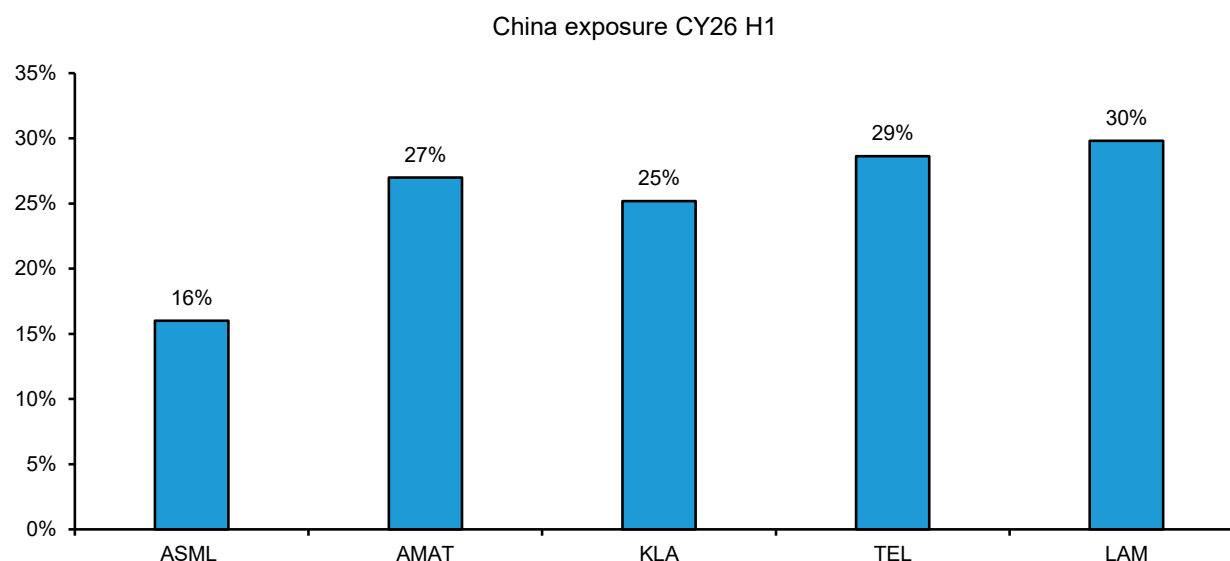
On July 27th, it was [reported](#) that China is mass producing its own DUV (ArFi) litho tools, with 5 units expected this year and 20 units next year. Even if that is true, we see little to worry about, given that:

- China's litho tools are likely to be much slower in throughput and inferior on specs like critical dimension, resolution, overlay, and uptime.** While the reported tool appears to be real and installed at several customer sites, the key issue is not whether it can print patterns, but whether it can meet HVM requirements. Based on channel checks, performance appears materially below ASML's current ArFi platforms and likely below older NXT generations (~1950). In lithography, throughput, uptime, overlay accuracy, defectivity, and manufacturing consistency ultimately determine fab economics, and there is currently no evidence that Chinese tools are competitive on these metrics.
- When China's tool is ready, it actually alleviates the risk of further restriction of ASML's ArFi tools to China.** A viable domestic alternative could weaken the policy argument for restricting mature imported ArFi systems, as tool availability would no longer be the limiting factor. Ironically, progress by Chinese litho vendors could over time support a relaxation rather than a tightening of restrictions.
- There has always been competition in DUV, as Nikon has been and still produces ArFi tools.** ASML has competed against Nikon in immersion lithography for decades. Despite entering only a few years behind ASML, Nikon never closed the gap in throughput, overlay, and productivity, and consequently retained only a limited market position.
- In a fair market competition, ASML has an absolute technology advantage.** Chinese fabs care primarily about productivity, yield, and cost of ownership. While domestic suppliers will benefit from strategic support, customers are unlikely to replace superior equipment before local alternatives demonstrate comparable performance in production environments.
- Worst case, it just puts ASML in the same situation as every other equipment vendor, and not worse.** Most WFE companies already face local Chinese competitors in at least part of their portfolios. Even under a downside scenario where domestic lithography gains share over time, ASML would simply face the same localization dynamics that other equipment suppliers already navigate.

6. **ASML's China exposure has dropped to just 16% in 1H26, the lowest among peers.** China represented 32% of ASML revenue in 2025, but management now expects the figure to be around 20% in 2026. At the same time, future growth increasingly comes from EUV, where China remains excluded. Importantly, Chinese lithography demand remains so strong that both ASML and domestic vendors are likely able to coexist for many years, as China's planned capacity expansion exceeds the supply currently available from local tool makers ([Exhibit 14](#)).

We hence find the market concern around ASML's China competition overdone.

EXHIBIT 14: **ASML had the lowest exposure to China in H1 compared with its WFE peers, at only 16%. The company expects China to represent around 20% of revenue in 2026, well below the 32% reported last year.**



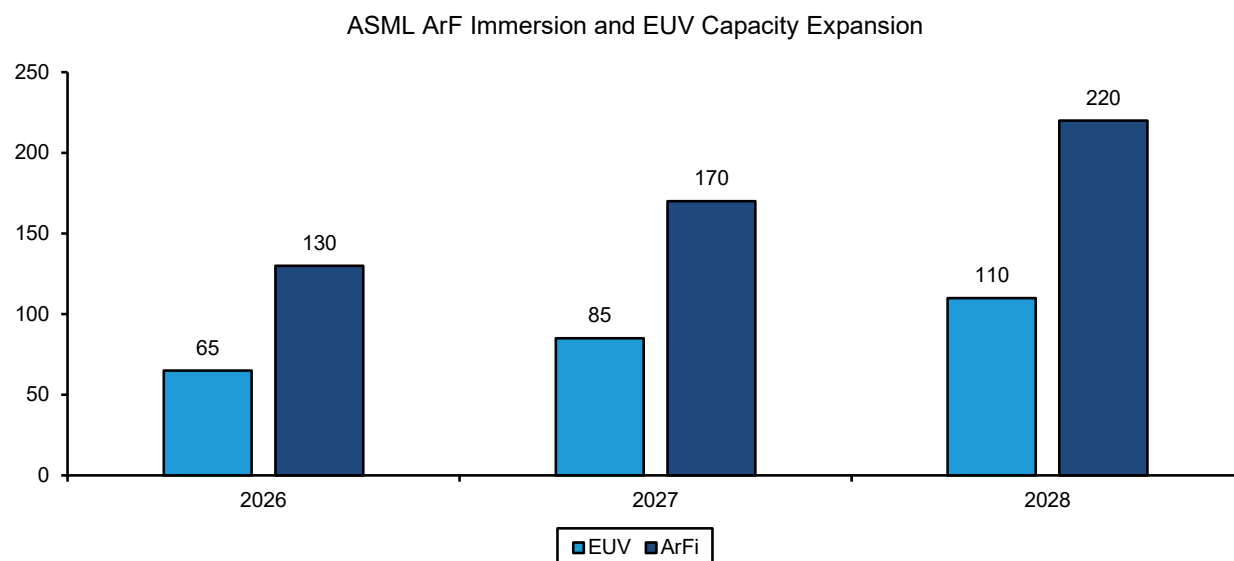
AMAT has not yet reported CYQ2 results, so we use only CYQ1 data.
Source: Company reports, Bloomberg, Bernstein analysis

CAPACITY EXPANSION ENSURES SUFFICIENT SUPPLY

A common concern among investors is whether ASML's capacity can keep pace with the accelerating demand for advanced logic and DRAM. We believe this risk is increasingly limited. ASML is planning to expand both **LNA EUV and immersion DUV capacity by roughly 30% annually through 2028**, increasing EUV capacity from 65 systems in 2026 to ~85 in 2027 and ~110 in 2028, while ArFi capacity rises from 130 systems to ~170 and ~220, respectively. Additionally, HNA capacity should reach 20 units in 2027/28 ([Exhibit 15](#)).

Importantly, management indicated that these targets do not represent a hard ceiling and are supported by strong order visibility extending into 2028. ASML highlighted that customer demand remains exceptionally strong, order momentum is robust, and capacity plans are still being refined with customers. As a result, both EUV and DUV capacity could be increased further if demand warrants. In our view, this aggressive capacity expansion significantly reduces concerns that litho supply could become a bottleneck for advanced-node growth. Instead, it provides confidence that the expected ramp in advanced logic, DRAM, and rising litho intensity can be supported by adequate tool availability over the next several years

EXHIBIT 15: **ASML guided capacity expansion at 30% next year and a further 30% in 2028 for both DUV immersion and EUV. This strong guidance suggests that backlog growth has been accelerating significantly, prompting ASML to expand capacity aggressively.**



Source: Company reports, Bernstein analysis and estimates

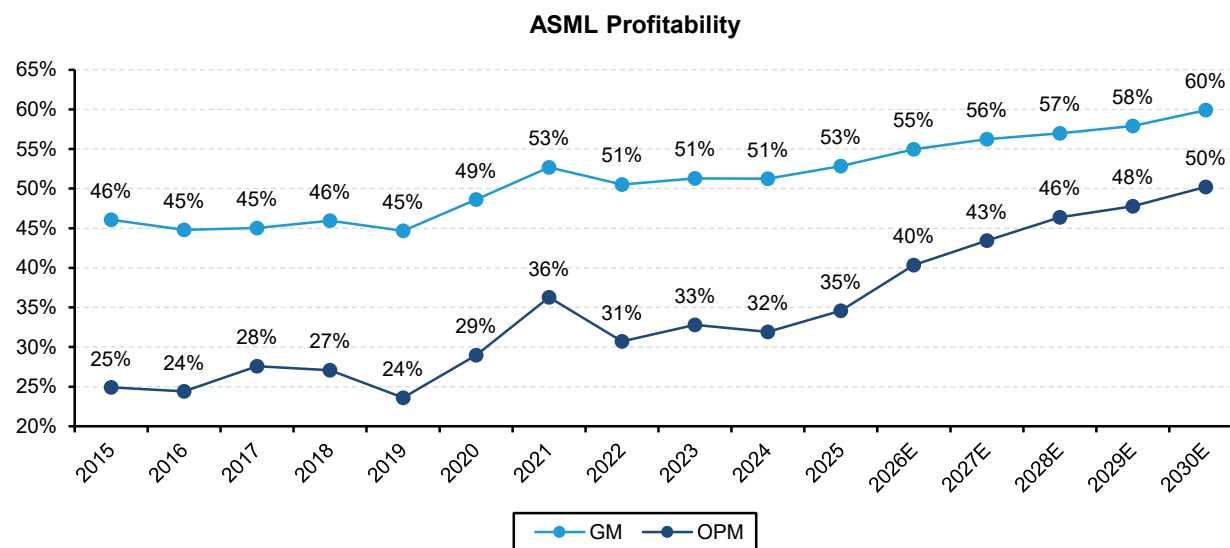
PRICING UPSIDE REMAINS UNDERAPPRECIATED

We believe investors might underestimate ASML's pricing power. Today, pricing is primarily driven by productivity improvements, with customers paying more for higher throughput and better performance. Consistent with management's comments, **we forecast EUV ASPs to increase by roughly 10% in 2027 and a further 7% in 2028**, driven by higher productivity and the transition to more advanced EUV systems.

Importantly, there may be additional upside beyond productivity-linked pricing. Industry reports suggest ASML is also exploring **like-for-like price increases**, reflecting its unique market position, strong demand environment, and expanding value proposition. Such increases are not included in our current forecasts. Recent commentary from both TSMC and Intel also appears to acknowledge ongoing equipment price inflation.

Our current estimates of margin expansion do not include any broad-based like-for-like price increases, yet we remain above street. We forecast GM expanding to 60% and OPM to 50% by 2030 versus Cons at 59.1% and 46.7%, respectively. Our earnings estimates are materially ahead of street, with our EPS 22% above cons in 2029 and 41% above cons in 2030. As a result, any successful implementation of like-for-like price increases would represent incremental upside to revenue, margins, and earnings beyond our current forecasts ([Exhibit 16](#), [Exhibit 17](#)).

EXHIBIT 16: We expect the strong margin expansion achieved over the past 2 years to continue, driven by improving EUV profitability, IBM and operating leverage. We forecast GM reaching 60% and OPM 50% by 2030. In addition, price hikes could provide incremental upside.



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 17: While consensus has materially revised its estimates upward, we remain meaningfully ahead of street, particularly toward the end of the decade, with our EPS forecast 22% above in 2029 and 41% above in 2030.

ASML: Comparison Table	2026E	2027E	2028E	2029E	2030E
Revenue (EUR B)					
Bernstein	44.0	55.9	71.9	81.9	92.1
Growth YoY	35%	27%	29%	14%	13%
Consensus	42.7	54.5	65.5	72.8	76.4
Growth YoY	31%	28%	20%	11%	5%
Bernstein vs. consensus	3.0%	2.6%	9.7%	12.4%	20.6%
Gross Profit (EUR B)					
Bernstein	24.2	31.4	41.0	47.4	55.2
Growth YoY	40%	30%	30%	16%	16%
Margin	55.0%	56.2%	57.0%	57.9%	59.9%
Consensus	23.3	30.2	37.5	41.3	45.1
Growth YoY	35%	30%	24%	10%	9%
Margin	54.5%	55.4%	57.3%	56.7%	59.1%
Bernstein vs. consensus	3.9%	4.2%	9.1%	14.8%	22.3%
Operating Profit (EUR B)					
Bernstein	17.7	24.3	33.3	39.1	46.3
Growth YoY	57%	37%	37%	17%	18%
Margin	40.3%	43.4%	46.4%	47.8%	50.2%
Consensus	16.5	23.1	29.4	32.8	35.7
Growth YoY	46%	41%	27%	12%	9%
Margin	38.5%	42.4%	44.8%	45.0%	46.7%
Bernstein vs. consensus	7.8%	5.0%	13.6%	19.3%	29.6%
Diluted EPS (EUR)					
Bernstein	38.91	53.56	75.25	91.64	114.84
Growth YoY	57%	38%	40%	22%	25%
Consensus	36.43	51.00	64.95	75.19	81.34
Growth YoY	47%	40%	27%	16%	8%
Bernstein vs. consensus	6.8%	5.0%	15.9%	21.9%	41.2%

Source: Company reports, Bloomberg, Bernstein analysis and estimates.

VALUATION LOOKS INCREASINGLY ATTRACTIVE

We expect ASML to significantly outperform its WFE peers, with revenue growing from €32.7bn in 2025 to €71.9bn by 2028 (30% CAGR), ahead of LRCX (26%), AMAT (25%), TEL (23%) and KLAC (21%). Growth is driven by rising lithography intensity as advanced semiconductor manufacturing increasingly relies on EUV, concentrating a greater share of process value in lithography. This positions ASML to capture a larger share of semiconductor capex. As a result, we expect ASML's EPS to more than triple by 2028 (45% CAGR), significantly outpacing the broader WFE peer group ([Exhibit 18](#)), ([Exhibit 19](#)).

Despite this superior growth outlook, ASML's valuation premium to the WFE group has effectively disappeared.

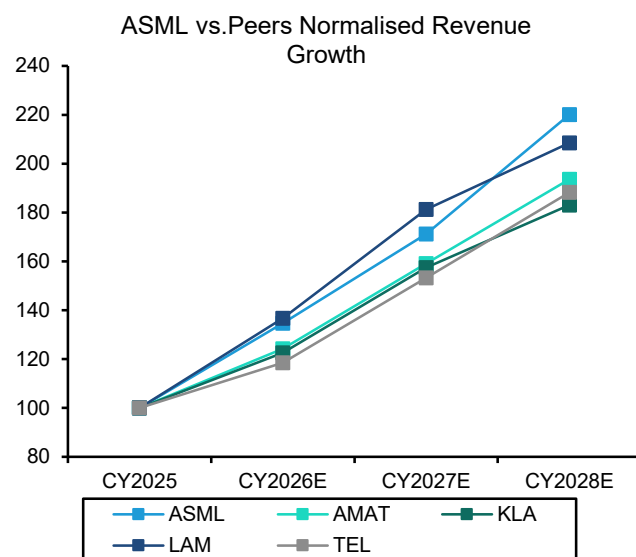
Historically, the stock traded at an average premium of around 60% to peers, reflecting its dominant competitive position in Lithography and strategic importance to the semiconductor ecosystem. Today, however, ASML currently trades at 31x 1-year forward P/E, slightly below the WFE average of 31.3x. **More strikingly, ASML trades at just 23.5x 2-year forward P/E, one of the lowest multiples within the peer group and below the WFE average of 24.9x, despite having the strongest expected EPS growth through 2028 and a solid competitive moat ([Exhibit 20](#)).** Relative to broader benchmarks, ASML currently trades broadly in line with its historical premium to the SOX and EDM ([Exhibit 21](#), [Exhibit 22](#), [Exhibit 23](#), [Exhibit 24](#)).

We believe ASML deserves to re-establish a premium valuation. The company is the sole provider of EUV lithography systems and faces no credible competition in its core market. At the same time, increasing lithography intensity across advanced logic

and memory manufacturing should continue to expand ASML's value capture opportunity. This unique positioning enhances pricing power, supports margin expansion and increases the durability of future earnings growth.

We keep our target PE of 40x and our TP at EUR 2,500. We reiterate our Outperform rating and top pick. For ASML's U.S. listing, our price target is USD 2,859.

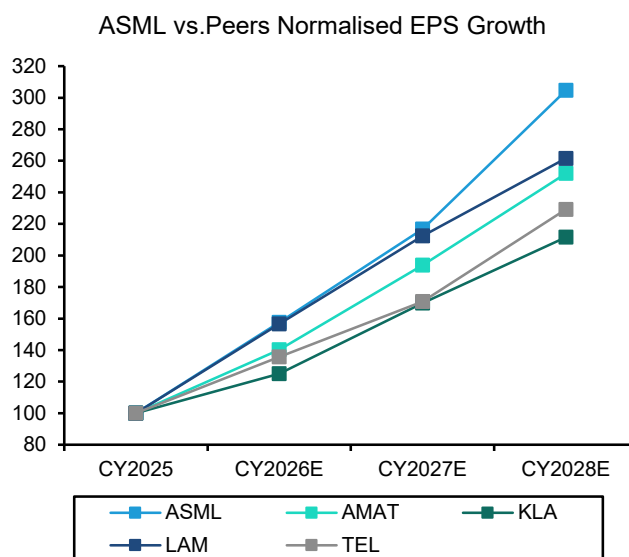
EXHIBIT 18: We expect ASML to significantly outperform its WFE peers, driven by increasing litho intensity. We estimate ASML's revenue will more than double over the next 3 years, growing at a 30% CAGR, ahead of LAM at 28%, AMAT at 25%, TEL at 23%, and KLA at 22%.



*CY adjusted

AMAT, KLA, LAM and TEL estimates are BBG consensus
Source: Company reports, Bloomberg, Bernstein analysis and estimates

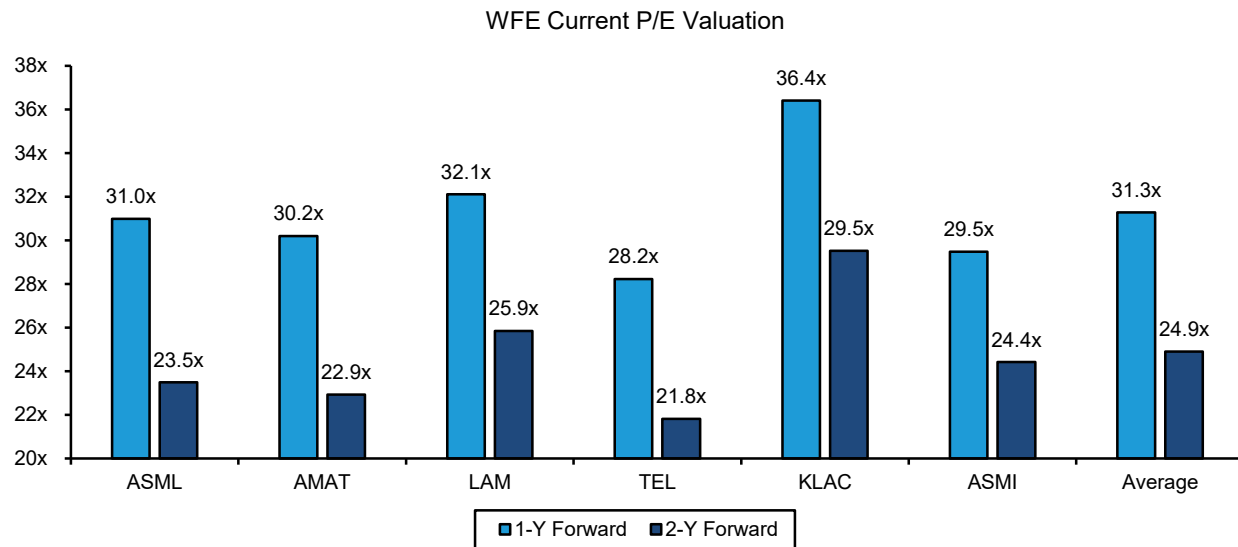
EXHIBIT 19: Similarly, ASML is significantly outperforming its peers on EPS growth over the next 3 years, with EPS expected to triple between 2025 and 2028, representing a 45% CAGR. This is well above LAM at a 38% CAGR25-28, AMAT at 36%, TEL at 32%, and KLA at 28%.



*CY adjusted

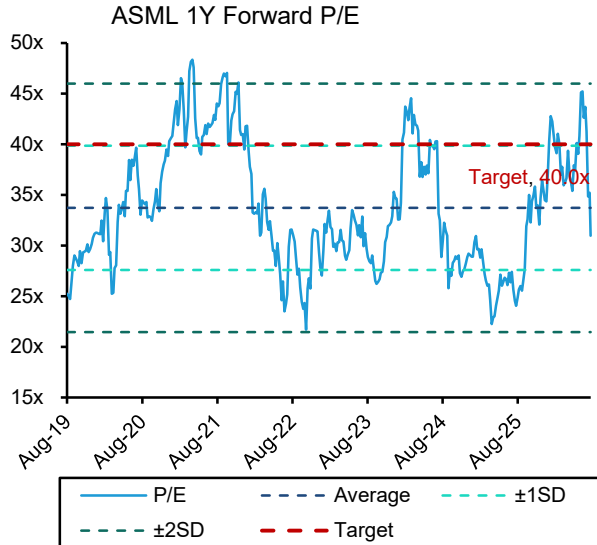
AMAT, KLA, LAM and TEL estimates are BBG consensus
Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 20: After trading at an average premium of ~60% over the past 10 years, ASML is now trading below the WFE average on a 1-Y forward basis. Even more notably, ASML currently trades at one of the lowest 2-Y forward P/E multiple among its peers.



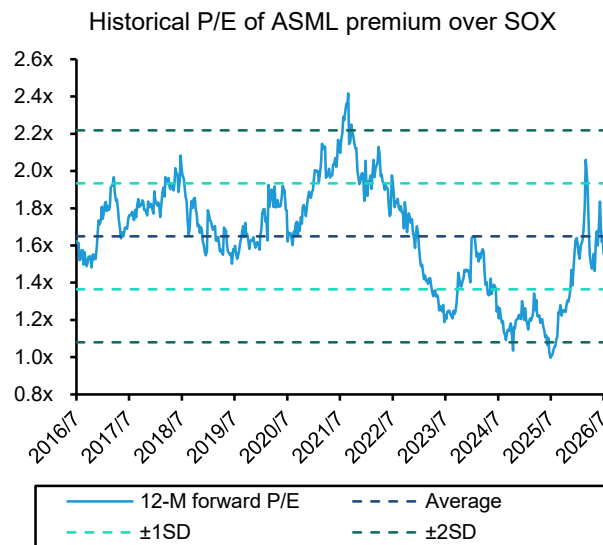
Source: Bloomberg, Bernstein analysis

EXHIBIT 21: After the strong correction over the past week, ASML is currently trading at ~31x, below its historical average of 35x.



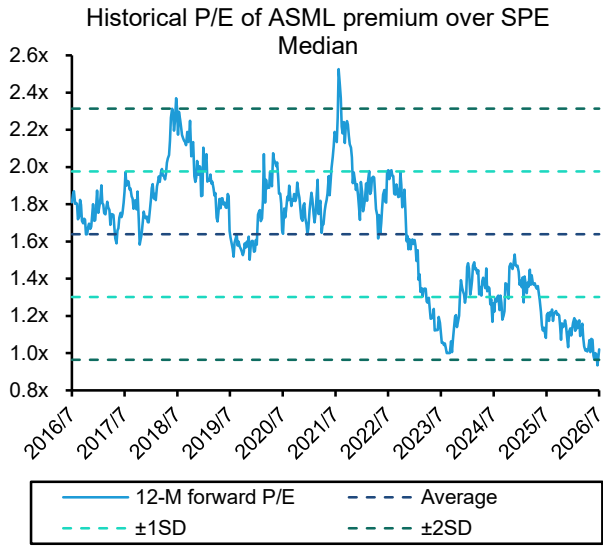
Source: Bloomberg, Bernstein analysis

EXHIBIT 22: After a recent increase over the past twelve months, ASML is now trading in line with its historical premium to the SOX.



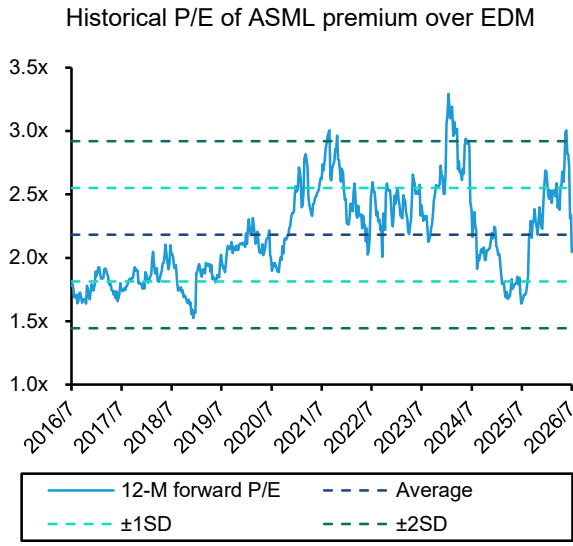
Source: Bloomberg, Bernstein analysis

EXHIBIT 23: **ASML average premium over the SPE median was on average 1.7X but is now for the first time trading in line/slightly below par.**



Source: Bloomberg, Bernstein analysis

EXHIBIT 24: **ASML premium over EDM increased considerably over the last ten years and is now trading in line with its historical average.**



Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 25: ASML Income Statement

EUR mn	2024	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	2027E	2028E	2029E	2030E
Revenue	28,263	32,667	8,767	9,327	11,782	14,097	43,973	55,915	71,891	81,853	92,135
Gross Profit	14,492	17,258	4,645	5,035	6,583	7,908	24,171	31,448	40,960	47,407	55,195
SG&A Expense	1,166	1,258	302	303	309	324	1,238	1,271	1,356	1,564	1,733
R&D Expense	4,304	4,699	1,185	1,277	1,315	1,420	5,196	5,897	6,258	6,725	7,190
EBIT	9,023	11,302	3,158	3,456	4,959	6,164	17,737	24,280	33,346	39,118	46,272
D&A	994	1,159					1,249	1,483	1,798	2,107	2,452
EBITDA	9,941	12,328					18,842	25,593	34,938	40,983	48,442
Non-Operating Income	20	105	41	30	30	30	131	120	120	120	120
Pretax Income	9,042	11,406	3,199	3,486	4,989	6,194	17,868	24,400	33,466	39,238	46,392
Income tax expense	1,681	2,013	547	610	898	1,115	3,169	4,392	6,024	7,063	8,351
Net Income (Cont. Operations)	7,362	9,393	2,652	2,877	4,091	5,079	14,699	20,008	27,442	32,175	38,042
Profit (Loss) Related to Equity Method Investment	210	217	105	41	44	44	234	176	176	176	176
Net Income	7,572	9,609	2,757	2,918	4,135	5,123	14,932	20,184	27,618	32,351	38,218
Diluted EPS (EUR)	19.24	24.72	7.15	7.58	10.78	13.40	38.91	53.56	75.25	91.64	114.84
# of Shares (Millions)	1,574	1,556	386	385	384	382	1,536	1,509	1,470	1,414	1,337
Margins											
Gross Profit	51.3%	52.8%	53.0%	54.0%	55.9%	56.1%	55.0%	56.2%	57.0%	57.9%	59.9%
Operating profit	31.9%	34.6%	36.0%	37.1%	42.1%	43.7%	40.3%	43.4%	46.4%	47.8%	50.2%
EBITDA	35.2%	37.7%					42.8%	45.8%	48.6%	50.1%	52.6%
Profit before tax	32.0%	34.9%	36.5%	37.4%	42.3%	43.9%	40.6%	43.6%	46.6%	47.9%	50.4%
Net Income	26.8%	29.4%	31.4%	31.3%	35.1%	36.3%	34.0%	36.1%	38.4%	39.5%	41.5%
Growth YoY											
Revenue	2.6%	15.6%	13.2%	21.3%	56.8%	45.1%	34.6%	27.2%	28.6%	13.9%	12.6%
Gross Profit	2.5%	19.1%	11.1%	21.9%	69.6%	56.0%	40.1%	30.1%	30.2%	15.7%	16.4%
Operating Profit	-0.2%	25.3%	15.3%	29.7%	100.9%	79.6%	56.9%	36.9%	37.3%	17.3%	18.3%
EBITDA	1.6%	24.0%					52.8%	35.8%	36.5%	17.3%	18.2%
Profit before tax	-0.5%	26.1%	14.8%	29.6%	100.5%	79.9%	56.7%	36.6%	37.2%	17.2%	18.2%
Net Income	-3.4%	26.9%	17.1%	27.4%	94.6%	80.4%	55.4%	35.2%	36.8%	17.1%	18.1%

Source: Company reports, Bernstein analysis and estimates.

EXHIBIT 26: ASML Balance Sheet

EUR mn	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Cash & Cash Equivalents	6,952	7,268	7,005	12,736	12,916	16,193	26,267	41,510	54,603	67,875
Accounts Receivable	3,028	5,324	4,334	4,478	3,023	8,795	10,065	11,503	12,278	13,820
Inventories	5,179	7,200	8,851	10,892	11,429	15,390	19,570	25,162	28,649	32,247
Other Current Assets	3,031	3,273	4,204	2,633	3,248	4,082	4,689	5,766	6,522	7,106
Total Current Assets	18,190	23,065	24,394	30,737	30,616	44,460	60,591	83,940	102,051	121,048
Net PP&E	2,983	3,944	5,493	6,847	7,894	9,377	11,370	13,323	15,501	17,888
Total Intangible Assets	5,508	5,398	5,330	5,210	5,129	5,129	5,129	5,129	5,129	5,129
Other Non-Current Assets	3,550	3,893	4,740	5,796	6,928	8,218	9,510	11,179	12,286	13,422
Total non-current assets	12,041	13,236	15,564	17,852	19,951	22,724	26,008	29,630	32,915	36,439
Total assets	30,231	36,300	39,958	48,590	50,567	67,184	86,600	113,571	134,966	157,487
Total current liabilities	12,298	17,984	16,275	20,051	24,264	32,221	40,413	51,241	57,523	63,827
Long-Term Debt	4,075	3,514	4,632	3,677	2,709	2,709	2,709	2,709	2,709	2,709
Contract Liabilities	3,226	5,270	4,826	5,625	3,366	3,366	3,366	3,366	3,366	3,366
Other Non-Current Liabilities	492	722	773	759	615	1,488	2,550	3,863	5,333	6,965
Total Liabilities	20,090	27,490	26,505	30,113	30,954	39,785	49,038	61,179	68,931	76,867
Total Shareholders' Equity	10,141	8,811	13,452	18,477	19,612	27,399	37,561	52,392	66,035	80,620
Total Liabilities & Shareholders' Equity	30,231	36,300	39,958	48,590	50,567	67,184	86,600	113,571	134,966	157,487

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 27: **ASML Cash Flow Statement**

EUR mn	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	5,670	5,624	7,839	7,572	9,609	14,932	20,184	27,618	32,351	38,218
Depreciation & Amortization	471	584	740	919	1,026	1,105	1,313	1,592	1,865	2,170
Others	4,492	2,279	-3,135	2,676	2,023	-2,775	2,156	2,618	1,879	1,326
Cash flow from operations	10,632	8,487	5,443	11,166	12,659	13,263	23,654	31,828	36,096	41,714
Capex	-901	-1,282	-2,156	-2,067	-1,538	-2,638	-3,355	-3,595	-4,093	-4,607
Others	829	253	-534	-542	-2,240	0	0	0	0	0
Cash flow from investing	-72	-1,029	-2,689	-2,609	-3,778	-2,638	-3,355	-3,595	-4,093	-4,607
Cash flow From financing	-9,892	-7,138	-3,004	-2,832	-8,671	-7,348	-10,225	-12,990	-18,910	-23,835
Effect of Changes in Exchange Rates	20	-3	-14	6	-30	0	0	0	0	0
Net change in cash	689	317	-264	5,731	180	3,277	10,074	15,243	13,093	13,272

Source: Company reports, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	29 Jul 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
ASML.NA (ASML)	O	EUR	1,362.20	2,500.00	107.0%	EUR	24.72	38.91	53.56	55.1	35.0	25.4
ASML (ASML)	O	USD	1,550.69	2,859.00	100.1%	USD	27.95	44.01	60.58	48.4	30.7	22.3
EDME			1,601.43									
SPX			7,316.15									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**ASML Holding NV**

For ASML, we apply a 40x P/E multiple to our Q5-8 EPS estimate to get a rounded PT of €2,500. For the ASML US listing we apply the EUR/US\$ exchange rate to get to a rounded PT of USD 2,859.

RISKS**ASML Holding NV**

Downside risks to our price target for ASML include margins coming below expectation because of the higher cost to commercialise EUV and advance EUV to new generations, larger than expected China over-stocking, weaker than expected WFE market, slower technology migration and the threat from other technologies in the long run, and further tightened export control on China customers.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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Autonomous brand common stock ratings are based on a 12-month time horizon.

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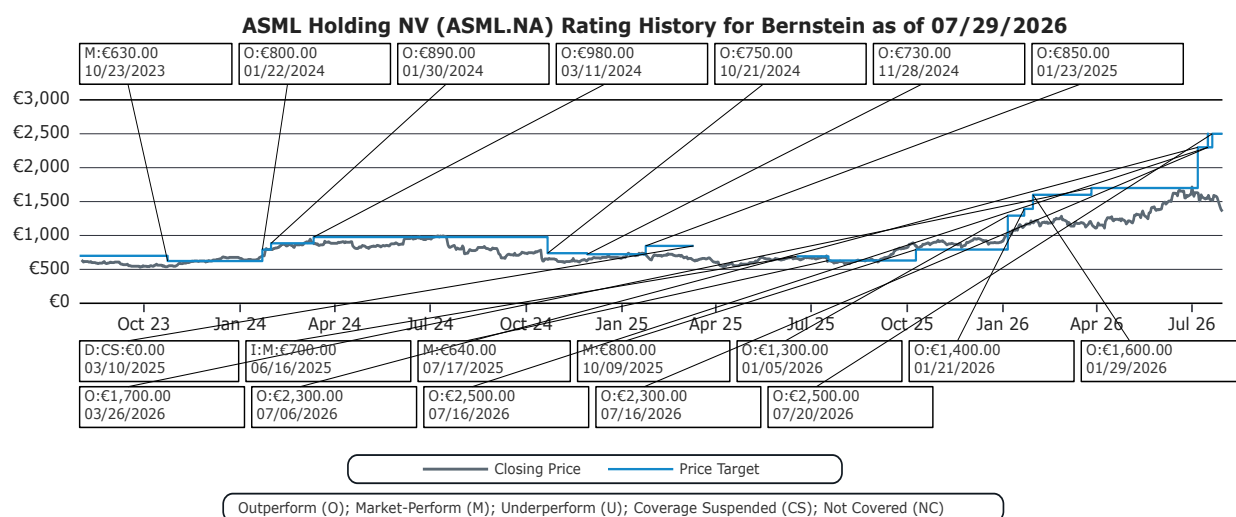
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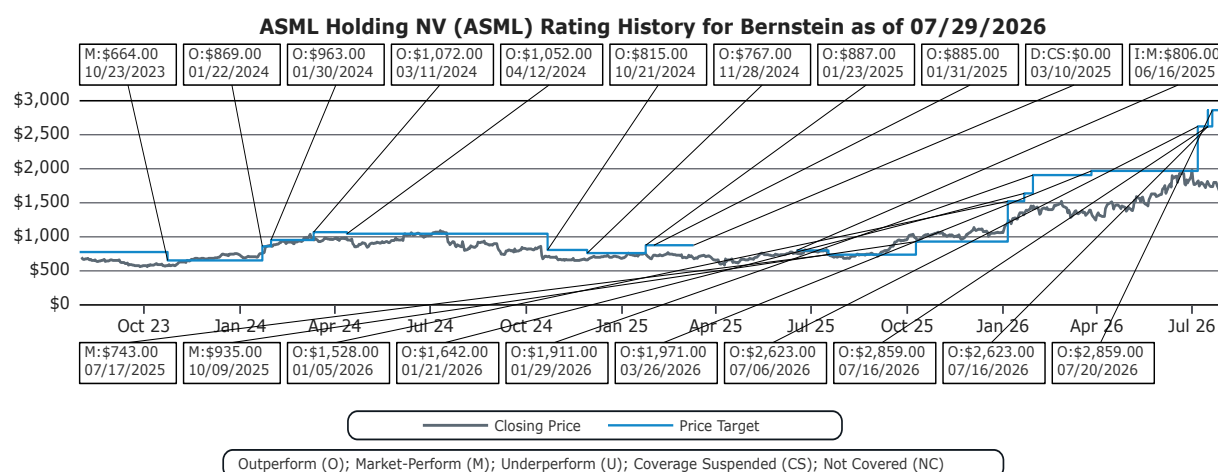
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Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

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As of June 30, 2026. All figures are updated quarterly.

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